

Turning Brazil's cattle economy into onchain proof.

A 20,000 USDC founding opportunity: half builds the platform, half runs the first CPR-financed cattle cohort through a CVM-regulated CRA — settled in native USDC, verified animal by animal, on a path to a Fitch-rated product global mandates can hold.

R\$ 249.5 bn

BRAZIL'S CATTLE VALUE CHAIN

20,000 USDC

FOUNDING COMMITMENT

120 days

TO THE FIRST FULL PROOF CYCLE

Brazil finances a **quarter-trillion-real cattle economy with instruments a global investor can't hold. The rails already exist — nobody has connected them to onchain capital. **We're building the connection.****

Livestock Rent is the operating and technology layer for a new category of agricultural RWA: professionally managed cattle, individually traced through Brazil's official systems, financed through instruments the Brazilian capital market already trusts — CPRs registered at B3, CRAs issued by CVM-authorized securitization companies — and administered through permissioned Web3 infrastructure with native-USDC settlement.

01

One commitment, two engines

10,000 USDC

VENTURE · BUILD THE PLATFORM



10,000 USDC

CRA PILOT · RUN THE FIRST COHORT

The angel tranche builds the origination, servicing, data, compliance, and distribution infrastructure — long-term venture capital, no 120-day return expected. The CRA tranche participates in a legally established issuance and finances the first cattle cohort. **The same commitment builds the company and produces the proof that reprices it.**

Illustrative four-month CRA economics — pre-issuance

Principal **10,000 USDC** · proposed fixed remuneration **4%** for the term · scheduled remuneration **400 USDC** · total scheduled payment **10,400 USDC**. These figures become contractual only upon CPR execution, B3 registration, valid assignment, CRA issuance, and final offering documents. Payment carries CPR obligor, collection, securitization, currency, tax, conversion, custody, and settlement risks.

Why the coupon is deliberately conservative

The pilot coupon annualizes below Brazil's Selic benchmark — by design. It is priced **to be paid, not to impress**. This tranche buys a front-row seat to a full cycle: capital in, cattle identified, CPRs at B3, collections into the estate, waterfall paid, report published. **The return that matters is the proof — and the proof is what reprices the equity.**

Tax, stated plainly

Brazilian law currently exempts qualifying CRA remuneration from income tax for **individual investors** (Law 11,033, art. 3, IV). The exemption does not automatically extend to corporate vehicles, funds, or all non-residents. The structure is designed to preserve the exemption **where the investor qualifies**, with an investor-by-investor tax analysis before commitment. No universal "tax-free" claim is made.

02

The asset is already there

Brazil is one of the world's great cattle economies. Mapa's 2026 estimate puts the national farm economy at **R\$ 1.4 trillion**, with cattle at **R\$ 249.5 billion** — the second-largest chain in the country, behind only soybean.

The opportunity is not inventing demand. It is converting a carefully selected slice of this economy into **auditable, financeable CPR cash flows** capable of supporting regulated CRA products. That conversion layer is the product.





Brazil's top agricultural value chains, 2026 VBP (Mapa, preliminary — data through May 2026).

First operating base: **Santa Catarina and Rio Grande do Sul** — strong extension-service data, traceability capability, manageable pilot networks. Proven model expands into Mato Grosso, Minas Gerais, and São Paulo, the three largest state-level value pools.

03 The rails are already legal

CPR — Cédula de Produto Rural · the credit instrument

B3 — registration & traceability

CRA — Certificado de Recebíveis do Agronegócio · the security

SISBOV — official animal identity

Native USDC — the settlement rail

1 10,000 USDC CRA allocation → lawful BRL conversion and CRA subscription

2 Securitization estate — CVM-authorized issuer

3 Eligible livestock CPRs registered at B3

4 Cattle acquisition, feed, and management — every animal identified

5 CPR collections → CRA waterfall

6 Scheduled CRA payment → authorized conversion → USDC settlement

Why onchain at all

USDC is the distribution rail, not the source of the right — and that separation is the design. **Brazilian law does the perfection; the chain does the distribution.** A CRA that today reaches a limited set of domestic buyers can reach qualified global capital with near-zero per-investor servicing cost, 24/7 settlement, and an audit trail that reconciles to the individual animal — not to a quarterly PDF. **The legal structure is deliberately boring so the distribution can be radical.**

Every animal becomes an auditable data asset

Each admitted animal receives a role-restricted digital identity — a verifiable-credential registry for biological collateral, connected one-to-one to its official SISBOV registration. It indexes the animal's full lifecycle: invoice, farm entry, GTA movements, health and weight events, attestations, CPR allocation, and exit. Its power comes from **reconciling chain records with official Brazilian data and physical inspection** — at a servicing cost per head no spreadsheet operation can match.

04

Where the money goes

10,000 USDC → the platform

- Farm infrastructure & cattle-receiving process
- SISBOV-connected identity registry & evidence store
- Pool dashboard, reconciliation & USDC distribution logic
- CPR documentation & B3 registration workflow
- Securitization partners, KYC/AML, offering-route analysis
- Operating data room built to global rating-agency (Fitch) methodology — including cattle-price, feed-cost & mortality stress scenarios

10,000 USDC → the first cohort

- Cattle acquisition — individually identified
- Feed, pasture supplements & nutrition
- Identification & initial veterinary procedures
- Transport & admission costs where applicable
- Limited operating reserve
- Every animal financed, documented & allocated once

The angel position (subject to term sheet and counsel): equity, SAFE, or equivalent; founding economics set before the next priced round; priority access to future pools; a seat in product-design discussions.

120 days to proof

Make it operational

DAYS 0–30

- Finalize & segregate both instruments
- Select farm, vet, verifier, exit channel
- Deploy identity & evidence workflow
- Finalize CPR / B3 / CRA / waterfall setup

Deploy the capital

DAYS 31–60

- Acquire the first cattle
- Validate invoices, SISBOV, tags, health
- Mint one identity token per animal
- Issue & register CPRs at B3 → assign to estate

Produce the proof

DAYS 61–120

- Monthly animal-and-cash reconciliation
- Publish cohort & exception metrics
- Collect CPRs → run the waterfall
- Execute the scheduled payment & report
- Close the first vintage of rating-grade performance data

The CPR payment dates, operating cycle, reserves, and expected offtake are underwritten together — the structure never depends on a forced cattle sale at an uneconomic price.

What the founding investor gets to verify, from primary evidence

- ✓ Capital reached verified cattle — and records reconciled
- ✓ CPRs registered at B3 and validly assigned
- ✓ Farm met biological-performance expectations; costs stayed controlled
- ✓ Collections reached the estate; waterfall and remuneration were transparent
- ✓ The first vintage of asset-level performance data exists — in the format a rating agency's structured finance methodology requires
- ✓ The model deserves additional capital

A rating the world can read

Animal-level transparency is necessary but not sufficient for institutional capital in the United States, Europe, Japan, Singapore, and Australia. Most of that capital operates under mandates that require a rating from a globally recognized agency. **Fitch Ratings is formally recognized by the regulator in every target market** – a Fitch rating converts "trust our transparency" into "verify with the agency your regulator already accepts."

United States

SEC · NRSRO

Usable by funds, insurers & banks for mandates

European Union

ESMA · ECAI

Solvency II, CRR & SECR due diligence

Japan

JFSA

Eligible for bank & insurer portfolios

Singapore

MAS

Accepted across asset-manager & family-office mandates

Australia

APRA · ECAI

Usable by superannuation funds & insurers

Sequenced with scale — rating fees are a fixed cost only volume absorbs

Founding pilot

THIS DOCUMENT · UNRATED

- The 120-day cycle produces the rating dossier
- Asset-level default, mortality, recovery & cost data per head
- Documented servicing procedures & legal opinions

Pool 2 · R\$ 5–20 m

FITCH NATIONAL SCALE · SF(BRA)

- First independent credit opinion
- Unlocks Fiagros & domestic institutional distribution
- Coupon benchmarked to a public rating curve

Pool 3+ · R\$ 50 m+

INTERNATIONAL SCALE + NATIONAL

- Unlocks US / EU / JP / SG / AU mandates
- Annual surveillance & event-driven review by Fitch
- Sovereign-ceiling mitigants evaluated (offshore reserves, pre-funded coupons)

The ceiling, stated plainly

Fitch rates Brazil **BB (stable)** with a **BB+ country ceiling**. An international-scale rating on a BRL-collections CRA will be **high yield, not investment grade** — and a sovereign downgrade would pressure it regardless of livestock performance. The structure's USDC settlement design addresses exactly the transfer-and-convertibility risk behind that ceiling. **No rating exists today and no agency has been engaged**; this page describes an intended trajectory.

The rating infrastructure for Brazilian agribusiness receivables is mature and battle-tested — Fitch acted on **191 CRA series in a single review in June 2026**. What the market lacks is an originator producing pulverized, animal-level performance data worth rating. **The pilot's first vintage is that data — and it is an asset no competing originator holds.**

Why now

- ✓ Institutional RWA appetite is moving past tokenized cash toward differentiated credit — the product gap is exactly here
- ✓ Brazil pairs a huge livestock economy with mature agri-credit instruments and digital traceability
- ✓ SISBOV + animal-level credentials can set the standard for auditable biological collateral
- ✓ B3, CPRs, and CRAs scale through infrastructure Brazilian markets already require
- ✓ Stablecoin settlement is now practical under Brazil's 2026 virtual-asset framework
- ✓ The rating infrastructure is ready — Fitch reviewed 191 CRA series in one action in June 2026; the missing piece is an originator with pulverized, asset-level data worth rating
- ✓ Whoever builds the verified operating dataset first becomes the category's trusted originator

20,000 USDC buys what later capital can't: the first complete, documented, independently verifiable livestock RWA cycle in Brazil. Half builds the machine. Half runs the first cohort through it.

In 120 days the founding investor holds either a working origination platform with an audited cohort behind it — or the cheapest, fastest, best-documented "no" available on agricultural RWA this year. **Both are worth the commitment.**

Next steps

- 1 Align on the founding-investor term sheet — startup instrument and CRA participation defined separately
- 2 Eligibility, KYC/AML, legal, wallet checks — including investor-specific tax & registration analysis
- 3 Segregated accounts and wallets for both allocations
- 4 Approve farm, CPR, CRA, reserve & deployment plan → execute B3 and securitization workflow
- 5 Begin the 120-day operating and CRA-payment roadmap

Important notice. This document is a strategic private concept brief, not an offer, recommendation, or solicitation to the public. The proposed startup investment and CRA participation require separate legal instruments and investor-eligibility analysis, including the applicable CVM offering route and any non-resident registration requirements. All CRA economics are illustrative and pre-issuance; the scheduled payment is subject to CPR execution, B3 registration, valid assignment, CRA issuance by a CVM-authorized securitization company, and final offering documents, and is exposed to obligor, collection, collateral, reserve, securitization, currency, tax, conversion, custody, and settlement risks. No completed issuance, registration, tax treatment, partner engagement, or regulatory approval is represented as existing unless independently documented. **No credit rating exists today and no rating agency has been engaged;** all references to Fitch Ratings describe an intended trajectory, not a current or implied rating, and any future international-scale rating would be constrained by Brazil's sovereign rating and country ceiling (currently BB / BB+ at Fitch). References: Livestock Rent RWA analysis (16 Jul 2026) · Institutional brief (20 Jul 2026) · Brazil 2026 VBP analysis (20 Jul 2026) · Fitch × CRA research note (22 Jul 2026) · Fitch rating trajectory analysis (22 Jul 2026) · Mapa VBP release.